Claim No.

IN THE HIGH COURT OF JUSTICE

QUEEN'S BENCH DIVISION

COMMERCIAL COURT

B E T W E E N:

NICHOLAS STOOP

T/A WARWICK RISK MANAGEMENT

Claimant

- and -

NICOLA JOHNSON

Defendant

PARTICULARS OF CLAIM

Introduction and background

1. The Claimant is an individual trading as Warwick Risk Management, authorised by the Financial Conduct Authority to perform regulated claims management activities. He is an expert in banking claims, having advised hundreds of SMEs in banking disputes, and has provided advice to the Financial Conduct Authority, the Financial Ombudsman Service, The Treasury Select Committee and the All-Party Parliamentary Group on Fair Business Banking.

2. The Defendant is the ex-wife of the millionaire businessman and convicted criminal Ziad Takieddine.

3. The Claimant and the Defendant met in or around 2009, during acrimonious divorce proceedings between the Defendant and Mr Takieddine which had begun in Paris in 2006.

The Defendant had been separated from her husband since 2007, was not in employment and was living in rented accommodation in London. The parties began a relationship in or around October 2009.

4. In January 2010, the Defendant was notified by Mr Takieddine that a divorce judgment had been obtained in her absence, threatening to leave her and her two sons homeless and without funds apart from 1,000 euros per month. The Defendant asked the Claimant to assist her with her divorce.

5. The Claimant agreed and in or around May 2010 began work on the French divorce and on occupation proceedings in England whose objective was to enable the Defendant to take occupation of their former matrimonial home known as Warwick House, 8 Addison Crescent, London W14 ("**Warwick House**"), which her husband had placed on the market with Savills for an asking price of £16 million.

6. Substantially as the result of the work and assistance provided by the Claimant, on 16 July 2010, the High Court made an Occupation order in the Defendant's favour in respect of Warwick House, together with a Non-Molestation Order forbidding Mr Takieddine to enter or attempt to enter Warwick House, or to use or threaten violence against the Defendant.

7. The Defendant assured the Claimant on numerous occasions that, although there was no written contract between them, she would pay him for the work he had carried out when she sold Warwick House.

8. In reliance on those representations, the Claimant devoted his full-time working hours to assisting the Defendant in her divorce and the related litigation.

9. Between 2010 and 2013 the Claimant worked on a full-time basis, liaising with more than 20 law firms and barristers in England and France, anti-corruption police, tax officials and investigative journalists as well as preparing for and attending more than 100 court hearings and lawyers' conferences in order both to support the claims and advance the

interests of the Defendant and to minimise the costs of her various French and English lawyers. From 2014 to 2016, the Claimant was able to split his working time evenly between the Defendant's cases and his banking claims consultancy practice.

10. In England, the Claimant assisted the Defendant to, amongst others:

    a) gain occupation of Warwick House and to repel attempts by Mr Takieddine to overturn the occupation orders;

    b) defeat possession proceedings brought by Mr Takieddine's agents;

    c) resist attempts by LPA Receivers appointed by Barclays Bank plc ("**Barclays**") to take vacant possession of the property;

    d) overturn a privacy injunction preventing the Defendant from using documents found at Warwick House;

    e) bring a successful libel action against a newspaper;

    f) launch a successful private criminal prosecution against Mr Takieddine for perversion of the course of justice;

    g) Pursue numerous freezing orders and other satellite proceedings under the Matrimonial and Family Proceedings Act 1984 as well as in a variety of other matters.

11. In France, the Claimant assisted the Defendant to, amongst others:

    a) set aside the unfavourable divorce judgment obtained by Mr Takieddine;

    b) overcome the attempts to block an appeal;

c) conduct a successful appeal in the divorce and to confirm that success in the French Supreme Court;

d) defend the Defendant against a criminal complaint brought by Mr Takieddine;

e) launch successful prosecutions of Mr Takieddine for wilful neglect;

f) freeze and monetise assets;

g) launch the criminal prosecution of Mr Takieddine for use of forgery and fraudulent voluntary insolvency;

h) Co-operate with authorities including investigating magistrates, anti-corruption police and tax officials in respect of Mr Takieddine's involvement in corruption, tax evasion and money-laundering including the Karachi Affair and the Libyan financing of the 2007 French presidential election.

12. The work the Claimant carried out in reliance on the Defendant's promise that he would be paid out of a share of the proceeds of sale of Warwick House was high-profile and dangerous. Mr Takieddine had an unsavoury reputation; he was associated with the Libyan dictator Muammar Gaddafi and Gaddafi's brother-in-law Abdullah Senussi. The evidence the Claimant unearthed at Warwick House evidenced Mr Takieddine's involvement in corruption scandals of international significance including the Karachi Affair and the illegal financing of Nicolas Sarkozy's successful 2007 French presidential election campaign by Libya. As a result, the Claimant hired private security for himself and the Defendant immediately after they occupied Warwick House in July 2010. This was not paranoia: During that period, the Claimant was followed around London and photographed by agents of Mr Takieddine who had been instructed to find out more about the Claimant, including where he lived.

13. As a result of working full-time to assist the Defendant between 2010 and 2013, and part-time from 2014 to 2016, the Claimant sacrificed a significant amount of paid work through his banking claims consultancy practice, and estimates that he lost £600,000 in profits during that period.

14. Withers LLP ("**Withers**") is a firm of solicitors who represented the Defendant in elements of the UK satellite proceedings from September 2010 onwards and to whom she owed approximately £2m in fees by December 2019.

15. On or about 16 September 2016, Moylan J ordered that Warwick House be placed on the open market and sold, with 50% of the net proceeds to be paid to the Defendant.

16. The Claimant and the Defendant lived together at Warwick House from July 2010 until October 2017, when their relationship came to an end.

The potential claim against Barclays

17. During their relationship, the Claimant repeatedly advised the Defendant that she had a claim against Barclays. The basis of the claim was Barclays' participation in an unlawful means conspiracy with Mr Takieddine.

18. Despite Barclays having been aware that the Defendant and Mr Takieddine were involved in divorce proceedings, on or around 3 February 2009 the bank allowed him to release £6m of equity from Warwick House and EUR6m from 40 Avenue Georges Mandel, Paris 75111 (the "**Paris Mortgage**"), and facilitated the transfer of the net proceeds to offshore bank accounts owned and controlled by Mr Takieddine. Those transfers thereby deprived the Defendant of a significant share of the matrimonial assets in the divorce. The quid pro quo for Barclays was a fee of more than £400,000 and, per their internal credit report dated 18 November 2008 *"significant business development opportunities"* in Libya, where Mr Takieddine's *"contacts and influence in Libya are significant, and we are actively pursuing business in that country."*

19. The Claimant advised the Defendant that the likely value of a settlement with Barclays would be the outstanding mortgage against Warwick House and the Paris Mortgage, on the basis that Barclays would agree not to enforce its charges. The Claimant advised that the total value of a claim could be up to £30m, based on the sum of the two mortgages, accrued interest and the 100% penalty that could be imposed under French law for fraudulent dissipation of jointly held assets.

20. Withers, acting for the Defendant in the UK element of her matrimonial proceedings, were not willing to act for the Defendant in a claim against Barclays. The matter was outside of the scope of their expertise and in any event, James Copson of Withers had advised the Defendant that the firm would be conflicted in any proceedings against Barclays.

21. In October 2017, following the breakdown of their domestic relationship, the Defendant wrote to the Claimant confirming that she would pay him for the work he had performed when she sold Warwick House. The sum of £2m was discussed. The Defendant also requested that the Claimant continue working on her case against Barclays. In around January 2018, the Defendant proposed that she would pay the Claimant 50% of the value of any settlement reached with Barclays. The Claimant agreed to the Defendant's proposal.

<u>The Contract</u>

22. To formalise and document the agreed working relationship, the Claimant then drafted a contract (the "**Contract**"). The Claimant relies upon the Contract for its full terms and effect. The Contract contained the following material terms:

> "***Preamble***
>
> *The objective of this assignment is to secure compensation in relation to mortgages granted by Barclays Bank PLC to Ziad Takieddine (via his companies) in February 2009*

*(the '**Mortgages**'), including the loan of GBP 6,000,000 to Warwick Estates Limited secured against Warwick House, 8 Addison Crescent, London W14 8JP (the '**London Mortgage**') and the loan of EUR 6,000,000 to SCI Lamartine secured against 40, Avenue Georges Mandel, Paris 75116 (the '**Paris Mortgage**').*

...

The compensation secured could take one or more of a variety of forms, including but not limited to a cash settlement or settlements, full or partial release from the burden of the Mortgages, or a combination of the above.

1. The Assignment

The Assignment comprises consultancy work and claims management services with reference to the Mortgages. The objective of the Assignment is to secure compensation in respect of the Mortgages.

...

Once this letter has been signed there is a 14 days' 'cooling off' period during which you may cancel the agreement and be entitled to a refund of any payments made. For the avoidance of doubt, cancelation of the agreement within the 14 days' 'cooling off' period will also cancel the 'Success Fee' arrangement set out below.

Thereafter this agreement may be terminated without penalty by either party at any stage. For the avoidance of doubt, termination of the agreement after the 14 days' 'cooling off' period will not terminate the 'Success Fee' arrangement set out below.

3. Fees

We have agreed that no fee will be payable apart from the Success Fee, defined further below.

...

Success Fee

We have agreed that the "Success Fee" will be 50% of any compensation realised pursuant to the Assignment, monetary or otherwise, howsoever obtained (the

*"**Compensation**"). In the event of the Compensation comprising two or more amounts ("Compensation Amounts"), then the Success Fee will be 50% of each of those Compensation Amounts.*

...

In the case of some or all of the Compensation taking the form of release from one or more mortgage obligations, the relevant success Fee is payable within 7 days of the realisation of the benefit of such release. For example, if the Compensation should include full or partial release from the London Mortgage, the relevant Success Fee is payable within 7 days of your receipt of the net proceeds from the sale of Warwick House."

23. On its proper construction, the Claimant is not entitled to recover any costs or disbursements and his only remuneration would be through the Success Fee. The Contract obliges the Defendant to pay the Success Fee to the Claimant whether or not the Contract is terminated and, accordingly, whether or not the compensation is secured directly by the Claimant during the currency of the Contract, or by the Defendant after the termination of the Contract.

24. The Claimant avers that the function of these contractual terms was to provide an incentive for the Claimant to work diligently until a settlement was obtained and to compensate him for the years of work and assistance provided both during and after the Defendant's divorce. They were also intended to remove any incentive for the Defendant to terminate the Contract at a late stage and to take the benefit of the Claimant's work by agreeing a settlement with Barclays herself without payment of the Success Fee to the Claimant.

25. It was understood by both parties that it was unlikely that any reasonable settlement could be made with Barclays without the assistance of the Claimant, given the Claimant's skills and experience of resolving banking disputes and his unrivalled in-depth knowledge of the complex factual background to the matter, in particular in France, England and

elsewhere. This was compounded by the inability of Withers to litigate a claim against Barclays.

26. The Claimant provided the Defendant with a copy of the Contract, signed by himself, on or about 9 April 2018. The Claimant understands that the Defendant received independent legal advice on the Contract, and she signed it on 4 May 2018.

Particulars of work done under the Contract

27. Following the execution of the Contract, the Claimant proceeded to work full-time to secure compensation from Barclays. On or about June 2018 he employed Mr Harry Farrell, a consultant experienced in banking regulation and civil and criminal litigation ("**Mr Farrell**"), to assist with the review of documents. Mr Farrell, who completed the Bar Professional Training Course in July 2018, is the son of Simon Farrell QC, an expert in matters relating to the Proceeds of Crime Act 2002 and who was already familiar with the Defendant's affairs, including the Barclays matter, having represented the Defendant in several of the sets of UK proceedings outlined set out herein.

28. Between May 2018 and November 2019, the Claimant and Mr Farrell reviewed approximately 10,000 pages of background documents supplied by the Defendant, many of which required translation from French, and spent approximately 4,000 hours on compiling the evidence necessary to bring a claim on behalf of the Defendant against Barclays and orchestrate a settlement. The Defendant played an active role in this process, including continuing to supply additional documents, helping with translations from French and commenting on the various drafts prepared by the Claimant of the letter to Dentons particularising the claim.

29. The Defendant had previously confirmed that she wished for Charles Russell Speechlys LLP ("**CRS**"), a law firm with whom the Claimant has an excellent working relationship through his banking claims consultancy business, to assist with the claim. Accordingly, on 7 May 2018 the Claimant began preparations to instruct CRS on a conditional fee

agreement basis. CRS began preparations in respect of instructing Simon Farrell QC. Pursuant to this, CRS and Mr Farrell QC agreed to provide advice and services in relation to the Barclays claim despite not yet having a formal retainer.

30. On 16 July 2018 CRS corresponded with Barclays, stating that the bank's charge against Warwick House and the Paris Mortgage violated English and French law and threatened to cause the Defendant significant loss. CRS also stated that the Defendant wished to enter discussions with a view to agreeing an amicable solution to the issue. Barclays appointed Dentons UK and Middle East LLP ("**Dentons**"), who wrote back 30 August 2018 declining to engage in discussions proposed.

31. In spite of this, the Claimant and Mr Farrell redoubled their efforts to particularise the Defendant's case against the bank. By November 2018, the Claimant and Mr Farrell had compiled substantial evidence demonstrating Barclays' participation in an unlawful means conspiracy with Mr Takieddine. They had also compiled evidence demonstrating Barclays' participation with Mr Takieddine committing offences under:

    a) Sections 76, 327, 328 and 329 of the Proceeds of Crime Act 2002;

    b) Regulation 45 of the Money Laundering Regulations 2007 for non-compliance with regulations 11 and 14;

    c) Section 1A of the Criminal Law Act 1977;

    d) Section 71 of the Criminal Justice Act 1993;

    e) Articles 314-7 to 314-9 of the French Criminal Code;

    f) Articles 1741, 1742 and 1750 of the French General Tax Code;

g) Articles 121-6 and 121-7, and 121-7, 324-1, 324-3, 324-4, 324-7 of the French Criminal Code; and

h) Articles 324-1, 324-3, 324-4 and 324-7 of the French Penal Code.

32. This catalogue of evidence, which included evidence that senior figures at Barclays had participated in fraud and the laundering of the proceeds of tax-evasion, was considered likely to compel Barclays to agree a settlement with the Defendant. In October 2018, at the Defendant's request, the Claimant began work on a draft letter to be sent by CRS to Dentons, setting out the basis of the claim in fuller detail. Also at the Defendant's request, the Claimant drafted a letter summarising the claim to be sent by the Defendant to her MP, Emma Dent-Coad.

33. On 12 October 2018, the musician Brian May, who lives next door to Warwick House, made a formal offer to buy the property. The Claimant and the Defendant met with Mr May in or around October 2018 to request that he postpone buying the house until after the Barclays case had been resolved. The Claimant explained that the claim against Barclays would be easier to settle by way of the bank agreeing not to enforce its charge before a sale, as opposed to seeking cash compensation from the bank afterwards. Mr May agreed to delay the purchase on that basis.

34. Accordingly, the Claimant arranged a conference with CRS and Simon Farrell QC to finalise the claim. The Defendant attended that conference on 29 November 2018, whereby the following matters were agreed:

a) The Defendant would formally instruct CRS on the basis of a conditional fee agreement (the "**CFA**"), whereby the firm's fees would be payable only in the event of a successful settlement with Barclays, subject to an uplift of 25%;

b) To further strengthen the evidential basis of the claim, the Claimant and Mr Farrell would continue to translate and read the voluminous files provided by the French

anti-corruption police, which contained numerous references to (in translation) the "*massive fraud*" conducted by Mr Takieddine with the assistance of Barclays, as well as papers seized from Barclays Monaco by the criminal investigators;

c) The Claimant, Mr Farrell, CRS and Simon Farrell QC would work together to finalise a letter to Dentons, further particularising the claim;

d) The Defendant would send the letter drafted by the Claimant to her MP; and

e) These steps were designed to increase the pressure on Barclays to adjust its stance and to agree to enter into negotiations.

35. By late November 2018, the majority of the work required to particularise the claim had been completed and the Claimant had incurred disbursements and time costs in support of pursuing the Barclays claim in the region of £1m.

36. On 11 December 2018, Dentons confirmed in writing that "the amount currently owing to the Bank is in the region of £7.1m." Further interest must have accrued since then.

37. Throughout 2019, the Claimant and Mr Farrell continued to translate the files supplied by the French criminal investigators, unearthing additional evidence supporting the claim, as had been agreed at the 29 November 2018 conference.

38. The letter to Dentons was redrafted more than 50 times between November 2018 and April 2019 by the Claimant and Mr Farrell, with assistance from CRS and Simon Farrell QC. The Defendant also provided her input, sending numerous emails on the subject in January and February 2019, including highlighting a selection of documents from the French criminal files. By April 2019, the letter setting out the claim against Barclays comprised 27 pages of carefully constructed legal argument backed up by extensive documentary evidence from the French criminal files and elsewhere.

39. On 17 January 2019, as agreed with the Defendant, CRS sent the CFA to the Defendant to be signed by her, but the Defendant did not sign it. Nor did she send the letter drafted by the Claimant to her MP.

40. In or around February 2019, the Claimant discovered from the French criminal files that the Defendant had opened a secret bank account with Barclays in or around 2007, and had asked Barclays to send all correspondence to England to prevent Mr Takieddine from learning of the account. This was a significant discovery because it could have proven that Barclays knew about the Defendant's divorce, and therefore that lending money to Mr Takieddine and its assistance with the transfer of funds to his offshore accounts was knowingly in furtherance of Mr Takieddine's dissipation of matrimonial assets. The Claimant advised the Defendant to force the bank to disclose this information by means of a Data Subject Access Request because this would significantly weaken the bank's position.

41. Between January 2019 and June 2019, CRS sent multiple reminders to the Defendant explaining that until the CFA was signed and returned, they were unable to act further on her behalf, including working on the letter to Dentons. The Claimant also explained to the Defendant that these delays were threatening to weaken her position against Barclays.

42. On or about 29 May 2019, the Defendant finally sent the letter to her MP, who forwarded it to Barclays. On 20 June 2019, Barclays replied to the Defendant stating that it would prefer to achieve a consensual solution and that it had asked Dentons to contact the Defendant's legal advisers to arrange a meeting.

43. On 5 July 2019, the Defendant also agreed to send the Data Subject Access Request to Barclays.

44. In July 2019, the expected settlement value of the claim against Barclays, on the basis that the bank would waive its charge against Warwick House, was approximately £7.3m, being the £7.1m confirmed as owing on 11 December 2018, plus further accrued interest.

45. In or around July 2019, the Claimant told the Defendant that based on his professional experience, having acted in more than 100 similar claims involving Barclays and other banks, Barclays was likely to waive its charge against Warwick House in exchange for:

    a) Avoiding potentially embarrassing litigation that it was likely to lose because of the comprehensive documentation proving misconduct by the bank's senior employees, against a claimant aided by a major law firm, Queen's Counsel and a leading banking claims management company;
    b) Retaining the Paris Mortgage, which was similar in value to the charge against Warwick House; and
    c) Avoiding the potential 100% penalty payable under French law for the concealment of joint assets.

46. In any event, even after giving up its charge against Warwick House, Barclays would still hold security from Mr Takieddine by way of his personal guarantee in the amount of £6m. The bank's 2008 credit report conservatively estimated Mr Takieddine's assets at £78.635m, noting that this only represented the value of disclosed assets.

47. In the premises, any settlement reached with Barclays after the Claimant started work was pursuant to the Contract, and accordingly the Success Fee would be payable to the Claimant.

Defendant's attempts to renegotiate the Success Fee

48. The Claimant's attempts to arrange the settlement meeting with Barclays were delayed by the Defendant's failure to sign the CFA in favour of CRS, who had sent the Defendant a Letter of Engagement and Conditional Fee Agreement on 17 January 2019. CRS had chased in January, April, May and June, but by August 2019 the Defendant had failed to formally instruct CRS.

49. At a meeting between the Claimant and Defendant at her home on or about 8 August 2019, the Claimant learned that the Defendant had had a meeting with Withers during which Withers had offered to reduce their fees by £500,000, but they required the first £500,000 of any settlement from Barclays, with a potential further uplift. Withers also required that they were to be paid before the Claimant or anyone else. Under that arrangement, it was also proposed by the Defendant that the Claimant agree to a reduction in the Success Fee percentage. The amount of the reduction was not specified. The Claimant did not agree to the proposed reduction. At the meeting, the Defendant told the Claimant that Brian May had reconfirmed his offer to buy Warwick House.

50. On or about 19 August 2019, the Defendant orally asked Peter Levaggi of CRS for the Claimant to agree to a reduction in the fee under the Contract. During that conversation, she said that she had been advised against meeting with Barclays. The Claimant did not subsequently agree to a reduction in the Success Fee but offered to discuss the matter if the Defendant would proceed with the settlement discussions with Barclays without further delay.

Termination

51. On 1 November 2019, the Defendant emailed Peter Levaggi at CRS to say that Withers had advised her not to proceed with settlement discussions with Barclays without first discussing with them.

52. On 18 November 2019, Andrew Chesser of Withers emailed the Claimant, informing him that Withers had been *"discussing matters with Nicola, not least in view of the substantial fees owing to Withers which gives rise to a joint interest in reaching an agreement with Barclays so that Warwick House can be sold."* Mr Chesser further stated that he had advised the Defendant that if she terminated the Contract the Success Fee would not be payable, and that she would be terminating the Contract imminently.

53. On 19 November 2019, the Defendant terminated the Contract by email. On the same day, she emailed CRS to inform them that any retainer with the firm had now been determined.

54. On 3 June 2020, Mr May purchased Warwick House for £12m, and was registered as proprietor on 4 June 2020.

55. In the premises, the Claimant believes that the Defendant has reached a settlement with Barclays and has no intention of paying the Success Fee to the Claimant. To date, the Defendant has failed to disclose the details of a settlement with the bank.

56. As at the date of termination, the Claimant's total time costs and disbursements amounted to £1.5m.

Relief sought

57. The Claimant seeks a declaration that he is entitled to the Success Fee if the Defendant receives or has received from Barclays any compensation, as defined by the Contract, notwithstanding the termination of the Contract on 19 November 2019.

58. The Claimant has calculated that the redemption figure for the London Mortgage was at least £7,267,796 on 3 June 2020. This is because by their letter of 11 December 2018, Dentons confirmed that £7.1m was outstanding, i.e. £1.1m of interest had accrued in the 118 months since the mortgage was taken out against Warwick House. This equates to £9,322 per calendar month. 18 months elapsed since December 2018 and at the same monthly rate £167,796 of additional interest would have accrued. This amounts to interest at a rate of 1.8% per annum, which the Claimant considers to be conservative estimate.

59. Further, the Claimant believes that Barclays must have agreed to write off the whole of the mortgage on Warwick House. He has negotiated more than 100 similar settlements

and a write off is most likely given the exceptionally strong case against Barclays prepared by the Claimant and CRS, and the fact that the Defendant has stoically failed to respond to requests for details about any settlement. On that basis, the Claimant has a claim in debt against the Defendant for the sum of at least £3,663,898, being 50% of the mortgage from which the Defendant was released.

60. Further, the Claimant seeks an order that the Defendant discloses all details of any settlement she has reached with Barclays.

Proprietary estoppel

61. Alternatively, by virtue of the promises made by the Defendant since 2010 that the Claimant was entitled to a share of the proceeds of sale of Warwick House, and his detrimental reliance on the same particularised above, it would be unconscionable for the Defendant to go back on those promises, and the Claimant has an equity in the said proceeds.

62. As a result of the execution of the Contract, the Claimant's expectation as to his share of the proceeds of sale of Warwick House resulting from the work he carried out for the Defendant since May 2010 changed. His expectation was that he would receive £3,663,898, being 50% of the expected value of the settlement with Barclays.

63. Accordingly, the Claimant seeks a declaration that the Defendant holds £3,663,898 of the proceeds of sale of Warwick House, or such other sum as the court determines, on trust for the Claimant.

64. The Claimant seeks interest on the sum of £3,663,898 under section 35A of the Senior Courts Act 1981 at the rate of 8%, from 3 June 2020 to 27 August 2020 (inc), amounting to £68,263.50 and continuing to accrue at the daily rate of £803.10, or such other rate as the court thinks fit.

AND THE CLAIMANT CLAIMS

1) The sum of £3,663,898;
2) Declaratory relief;
3) Injunctive relief;
4) Such further and other relief as is necessary;
5) Interest; and
6) Costs

Nicholas Towers

Statement of Truth

I believe that the facts stated in this Particulars of Claim are true. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed .....

Nicholas Stoop - Claimant

Dated 28 August 2020